HFC LTD
UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

		Bank					Group Consolidated		
I	**STATEMENT OF FINANCIAL POSITION**	30.09.2018	31.12.2018	31.03.2019	30.06.2019	30.09.2019	30.09.2018	31.12.2018	30.09.2019
	AS AT 30 SEPTEMBER 2019	UnAudited	Audited	UnAudited	UnAudited	UnAudited	UnAudited	Audited	UnAudited
A.	**ASSETS**	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)
1	Cash balances (both local and foreign)	365,546	356,884	426,040	477,874	412,096	365,546	356,884	412,096
2	Balances due from Central Bank of Kenya	1,974,865	2,423,468	2,079,232	2,155,275	1,571,555	1,974,865	2,423,468	1,571,555
3	Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-	-	-
4	Financial Assets at fair value through profit and loss	-	-	-	-	-	-	-	-
5	Investment Securities:	-	-	-	-	-	-	-	-
	a) Held to Maturity:	**1,291,647**	**515,801**	**591,117**	**515,641**	**104,681**	**1,291,647**	**515,801**	**104,681**
	a. Kenya Government securities	1,291,647	515,801	591,117	515,641	104,681	1,291,647	515,801	104,681
	b. Other securities	-	-	-	-	-	-	-	-
	b) Available for sale:	**2,576,822**	**2,696,339**	**3,022,567**	**3,732,578**	**3,494,689**	**2,576,822**	**2,696,339**	**3,494,689**
	a. Kenya Government securities	2,576,822	2,696,339	3,022,567	3,732,578	3,494,689	2,576,822	2,696,339	3,494,689
	b. Other securities	-	-	-	-	-	-	-	-
6	Deposits and balances due from local banking institutions	1,697,577	1,696,302	1,221,604	326,980	2,153,021	1,697,577	1,696,302	2,153,021
7	Deposits and balances due from banking institutions abroad	387,427	345,124	108,846	170,437	523,901	387,427	345,124	523,901
8	Tax recoverable	197,520	184,898	185,772	187,554	188,498	267,564	311,739	312,684
9	Loans and advances to customers (net)	45,431,268	44,615,058	43,307,899	41,852,265	40,548,513	45,431,268	43,439,691	39,200,576
10	Balances due from banking institutions in the group	-	-	-	-	-	-	-	-
11	Investments in associates	-	-	-	-	-	-	-	-
12	Investments in subsidiary companies	-	-	-	-	-	-	-	-
13	Investment in Joint ventures	254,580	236,627	236,627	236,627	236,627	1,709,519	1,690,210	1,862,002
14	Investment properties	-	-	-	118,003	542,004	-	-	2,077,901
15	Property and equipment	1,376,609	1,339,729	1,301,188	1,257,638	1,232,419	2,123,163	2,078,978	1,240,779
16	Prepaid operating lease rentals	38,129	38,013	37,898	37,782	37,667	43,445	43,284	42,801
17	Intangible assets	988,665	1,006,692	960,204	923,550	913,767	989,708	1,007,553	913,829
18	Deferred tax asset	798,140	854,804	835,244	813,128	810,405	821,202	994,594	941,862
19	Retirement benefit asset	-		-	-	-	-	-	-
20	Other assets	970,935	773,544	891,493	1,217,160	1,586,772	3,693,200	2,949,383	2,558,682
21	**TOTAL ASSETS**	**58,349,730**	**57,083,283**	**55,205,731**	**54,022,492**	**54,356,615**	**63,372,953**	**60,549,350**	**57,411,060**
B.	**LIABILITIES**								
22	Balances due to Central Bank of Kenya	-	-	-	-	-	-	-	-
23	Customer deposits	34,845,603	34,866,684	34,133,142	33,956,889	34,693,341	34,659,633	34,720,824	34,608,493
24	Deposits and balances due to local banking institutions	78,744	578,216	122,460	69,262	72,695	78,744	578,216	72,695
25	Deposits and balances due to foreign banking institutions	-	-	-	-	-	-	-	-
26	Other money market deposits	-	-	-	-	-	-	-	-
27	Borrowed funds	13,288,035	11,520,964	11,127,399	10,258,130	9,910,494	15,347,682	13,468,749	9,930,703
28	Balances due to banking institutions in the group	-	-	-	-	-	-	-	-
29	Tax payable	-	-	-	-	-	3	3	-
30	Dividends payable	-	-	-	-	-	43,120	28,055	2,167
31	Deferred tax liability	-	-	-	-	-	-	-	-
32	Retirement benefit liability	-	-	-	-	-	-	-	-
33	Other liabilities	577,533	952,459	658,163	550,356	431,899	2,431,967	1,382,272	2,355,720
34	**TOTAL LIABILITIES**	**48,789,915**	**47,918,323**	**46,041,164**	**44,834,637**	**45,108,429**	**52,561,149**	**50,178,119**	**46,969,778**
C.	**SHAREHOLDERS' FUNDS**								
35	Paid up /Assigned capital	5,000,000	5,000,000	5,000,000	5,000,000	5,000,000	1,923,071	1,923,071	1,923,071
36	Share premium/(discount)	3,513,662	3,513,662	3,513,662	3,513,662	3,513,662	4,342,562	4,343,512	4,342,562
37	Revaluation reserves	180,440	180,440	180,440	180,440	180,440	881,904	881,903	881,904
38	Retained earnings/Accumulated losses	(215,927)	(1,440,413)	(1,846,360)	(1,940,662)	(2,020,605)	2,590,444	1,337,713	700,050
39	Statutory loan loss reserves	1,010,186	1,885,489	2,245,403	2,311,390	2,445,310	1,002,370	1,885,489	2,445,310
40	Other Reserves	20,704	(24,968)	20,672	72,275	78,629	20,704	(51,207)	97,636
41	Proposed dividends	-	-	-	-	-	-	-	-
42	Capital grants	50,750	50,750	50,750	50,750	50,750	50,750	50,750	50,750
43	**TOTAL SHAREHOLDERS' FUNDS**	**9,559,815**	**9,164,960**	**9,164,567**	**9,187,855**	**9,248,186**	**10,811,804**	**10,371,231**	**10,441,282**
44	**TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS**	**58,349,730**	**57,083,283**	**55,205,731**	**54,022,492**	**54,356,615**	**63,372,953**	**60,549,350**	**57,411,060**

HFC LTD

UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

		Bank					Group Consolidated		
		30.09.2018	31.12.2018	31.03.2019	30.06.2019	30.09.2019	30.09.2018	31.12.2018	30.09.2019
II	STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 30 SEPTEMBER 2019	UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)
1	**INTEREST INCOME**								
1.1	Loans and advances	4,407,694	5,661,554	1,253,587	2,490,651	3,795,909	4,407,694	5,661,554	3,795,909
1.2	Government securities	237,882	338,823	91,233	195,706	312,840	237,882	338,823	312,840
1.3	Deposits and placements with banking institutions	36,243	45,144	5,894	10,387	15,972	36,243	45,144	15,972
1.4	Other Interest Income	-	-	-	-	-	-	-	-
1.5	**Total interest income**	**4,681,819**	**6,045,521**	**1,350,714**	**2,696,744**	**4,124,721**	**4,681,819**	**6,045,521**	**4,124,721**
2	**INTEREST EXPENSES**								
2.1	Customer deposits	1,658,506	2,173,142	460,938	886,437	1,323,693	1,658,506	2,173,142	1,658,506
2.2	Deposits and placement from banking institutions	94,903	126,790	19,742	42,825	61,417	94,903	126,790	94,903
2.3	Other interest expenses	1,006,546	1,311,822	279,480	537,449	774,554	1,133,396	1,479,916	653,930
2.4	**Total interest expenses**	**2,759,954**	**3,611,754**	**760,160**	**1,466,711**	**2,159,664**	**2,886,805**	**3,779,848**	**2,407,338**
3	**NET INTEREST INCOME/(LOSS)**	**1,921,865**	**2,433,767**	**590,554**	**1,230,033**	**1,965,057**	**1,795,014**	**2,265,673**	**1,717,383**
4	**OTHER OPERATING INCOME**								
4.1	Fees and commissions on loans and advances	27,667	62,953	16,436	26,950	46,607	27,667	62,953	46,607
4.2	Other fees and commissions	69,496	112,045	98,035	159,974	235,914	112,564	151,772	274,875
4.3	Foreign exchange trading income/(Loss)	30,947	38,173	6,298	15,011	28,575	30,947	38,173	28,575
4.4	Dividend Income	-	-	-	-	-	-	-	-
4.5	Other income	71,423	89,707	11,682	42,204	104,170	426,834	1,066,159	719,820
4.6	**Total Non-interest income**	**199,533**	**302,878**	**132,451**	**244,139**	**415,266**	**598,012**	**1,319,057**	**1,069,877**
5	**TOTAL OPERATING INCOME**	**2,121,398**	**2,736,645**	**723,005**	**1,474,172**	**2,380,323**	**2,393,026**	**3,584,730**	**2,787,260**
6	**OPERATING EXPENSES**								
6.1	Loan loss provision	357,150	375,908	179,706	369,437	587,488	357,150	375,908	587,488
6.2	Staff costs	608,508	929,804	201,123	409,065	652,440	932,456	1,227,078	771,891
6.3	Directors' emoluments	7,228	7,998	3,316	3,938	9,258	8,344	8,420	9,830
6.4	Rental charges	86,577	114,875	28,659	57,896	84,536	86,577	155,526	84,536
6.5	Depreciation charge on property and equipment	126,486	165,724	39,232	77,177	117,806	126,748	181,799	129,059
6.6	Amortisation charges	145,150	199,982	51,410	103,346	155,981	145,194	199,982	156,046
6.7	Other operating expenses	881,922	1,337,633	265,592	527,661	793,185	1,059,189	2,087,702	1,129,828
6.8	**Total Other Operating Expenses**	**2,213,021**	**3,131,924**	**769,038**	**1,548,520**	**2,400,694**	**2,715,658**	**4,236,415**	**2,868,678**
7	**Profit/(loss) before tax and exceptional items**	**(91,623)**	**(395,279)**	**(46,033)**	**(74,348)**	**(20,371)**	**(322,632)**	**(651,685)**	**(81,418)**
8	Exceptional items	-	13,555	-	-	-	(3,013)	8,941	
9	**Profit/(loss) after exceptional items**	**(91,623)**	**(381,724)**	**(46,033)**	**(74,348)**	**(20,371)**	**(325,645)**	**(642,744)**	**(81,418)**
10	Current tax	-	(13,134)	-	-	-	(6,372)	(13,623)	(3,199)
11	Deferred tax	-	(33,967)	-	-	-	-	58,149	-
12	**Profit/(loss) after tax and exceptional items**	**(91,623)**	**(428,825)**	**(46,033)**	**(74,348)**	**(20,371)**	**(332,017)**	**(598,218)**	**(84,617)**
13	**Other Comprehensive Income**								
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	-	-
13.2	Fair value changes in available for sale financial assets	60,987	60,379	65,200	138,919	147,997	60,987	60,379	147,997
13.3	Revaluation surplus on Property,plant and equipment	-	860	-	-	-	-	860	-
13.4	Share of other comprehensive income of associates	-	-	-	-	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	(18,296)	(18,114)	(19,560)	(41,676)	(44,399)	(18,296)	(18,114)	(44,399)
14	**Other Comprehensive Income for the year net of tax**	42,691	43,125	45,640	97,243	103,598	42,691	43,125	103,598
15	**Total comprehensive income for the year**	(48,932)	(385,700)	(393)	22,895	83,227	(289,326)	(555,093)	18,980
	Earnings per share	**(24.43)**	**(85.77)**	**(36.83)**	**(29.74)**	**(5.43)**	**(1.15)**	**(1.56)**	**(0.29)**
	Dividend per share	**25.00**	**25.00**		-		-	-	-

HFC LTD

UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

		Bank					Group Consolidated		
		30.09.2018	31.12.2018	31.03.2019	30.06.2019	30.09.2019	30.09.2018	31.12.2018	30.09.2019
	DISCLOSURES	UnAudited	Audited	UnAudited	UnAudited	UnAudited	UnAudited	Audited	UnAudited
III	AS AT 30 SEPTEMBER 2019	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)
1	**Non-Performing Loans and Advances**								
	a) Gross non-performing loans and advances	**8,946,494**	**13,334,356**	**12,968,197**	**12,974,200**	12,648,754	**8,946,494**	**13,334,356**	12,648,754
	b) Less: Interest in Suspense	**1,514,185**	**2,501,523**	**2,673,324**	**2,845,300**	2,951,208	**1,514,185**	**2,501,523**	2,951,208
	c) Total non-Performing loans and advances (a-b)	**7,432,309**	**10,832,833**	**10,294,872**	**10,128,900**	9,697,546	**7,432,309**	**10,832,833**	9,697,546
	d) Less: Loan loss provisions	2,280,915	2,098,159	2,488,850	2,542,118	2,669,913	2,280,915	2,098,159	2,669,913
	e) Net non-performing loans and advances(c-d)	**5,151,393**	**8,734,674**	**7,806,022**	**7,586,782**	7,027,633	**5,151,393**	**8,734,674**	7,027,633
	f) Discounted value of securities	5,151,393	8,734,674	7,806,022	7,586,782	7,027,633	5,151,393	8,734,674	7,027,633
	g) Net Exposure(e-f)	-	-	-	-	-	-	-	-
2	**Insider loans and advances**								
	a) Directors, shareholders and associates	426,287	1,549,429	1,497,959	1,451,304	1,429,462	426,287	1,549,429	1,429,462
	b) Employees	883,942	868,996	847,248	794,231	818,889	883,942	868,996	818,889
	c) Total insider Loans and Advances	**1,310,229**	**2,418,425**	**2,345,206**	**2,245,535**	**2,248,351**	**1,310,229**	**2,418,425**	**2,248,351**
3	**Off-Balance Sheet items**								
	a) Letters of credit, guarantees and acceptances	208,493	184,760	173,192	92,321	86,342	208,493	184,760	86,342
	b) Forwards, swaps and options	1,715,000	972,275	809,700	964,450	-	1,715,000	972,275	-
	c) Other contingent liabilities	-	-	-	-	-	-	-	-
	c) Total contingent liabilities	**1,923,493**	**1,157,035**	**982,892**	**1,056,771**	**86,342**	**1,923,493**	**1,157,035**	**86,342**
4	**Capital Strength**								
	a) Core capital	7,520,299	6,925,770	6,498,789	6,417,172	6,331,958	7,441,779	7,370,131	6,744,628
	b) Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
	c) Excess/Deficiency	6,520,299	5,925,770	5,498,789	5,417,172	5,331,958	6,441,779	6,370,131	5,744,628
	d) Supplementary capital	712,075	684,869	620,310	593,343	556,037	712,117	684,869	557,537
	e) Total capital (a+d)	8,232,374	7,610,639	7,119,099	7,010,515	6,889,995	8,153,896	8,055,000	7,302,166
	f) Total risk weighted assets	49,167,068	48,940,357	45,724,837	45,517,330	44,642,952	52,735,321	52,178,149	44,536,122
	g) Core capital /Total deposit liabilities	21.53%	19.54%	18.97%	18.86%	18.21%	21.42%	20.88%	19.45%
	h) Minimum Statutory Ratio	8.00%	8.00%	8.00%	8.00%	8.00%	8.00%	8.00%	8.00%
	i) Excess/Deficiency	13.53%	11.54%	10.97%	10.86%	10.21%	13.42%	12.88%	11.45%
	j) Core capital /Total risk weighted assets	15.30%	14.15%	14.21%	14.10%	14.18%	14.11%	14.12%	15.14%
	k) Minimum Statutory Ratio	10.50%	10.50%	10.50%	10.50%	10.50%	10.50%	10.50%	10.50%
	l) Excess/Deficiency (j-k)	4.80%	3.65%	3.71%	3.60%	3.68%	3.61%	3.62%	4.64%
	m) Total capital /Total risk weighted assets	16.74%	15.55%	15.57%	15.40%	15.43%	15.46%	15.44%	16.40%
	n) Minimum Statutory Ratio	14.50%	14.50%	14.50%	14.50%	14.50%	14.50%	14.50%	14.50%
	o) Excess/Deficiency (m-n)	2.24%	1.05%	1.07%	0.90%	0.93%	0.96%	0.94%	1.90%
	p) Adjusted Core Capital/Total Deposit Liabilities*	22.77%	20.05%	19.40%	19.08%	18.54%			
	q) Adjusted Core Capital/Total Risk Weighted Assets*	16.17%	14.52%	14.50%	14.27%	14.44%			
	r) Adjusted Total Capital/Total Risk Weighted Assets*	17.62%	15.92%	15.90%	15.57%	15.69%			
5	**Liquidity**								
	a) Liquidity Ratio	22.89%	20.92%	20.84%	20.90%	21.24%	22.89%	20.92%	21.24%
	b) Minimum Statutory Ratio	20.00%	20.00%	20.00%	20.00%	20.00%	20.00%	20.00%	20.00%
	c) Excess(Deficiency) (a-b)	2.89%	0.92%	0.84%	0.90%	1.24%	2.89%	0.92%	1.24%

***Notes**

The adjusted Capital Ratios includes the expected credit loss provisions added back to Capital in line with CBK Guidance Note issued in April 2018 on implementation of IFRS 9.

These financial statements are extracts from the books of the institution. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institutions website www.hfgroup.co.ke

They may also be accessed at the institutions head office located at Rehani House, Kenyatta Avenue/Koinange Street, Nairobi

Robert Kibaara	Kaushik Manek	Steve Mainda
Group Chief Executive Officer	HFC Ltd Chairman	Group Chairman